

IFSCA GRADE A

PHASE 2 | PAPER 2

MEMORY BASED PAPER

DETAILED EXPLANATIONS



Preface

Dear Students,

It is with great pleasure that we present to you this question paper document with detailed explanations for the **IFSCA Grade A Phase 2 Paper 2 2023**. This document has been meticulously to serve as a valuable resource for candidates preparing for the **IFSCA Grade A**.

Aspiring candidates are often confused about the pattern, difficulty level and types of questions that may appear in their upcoming exam.

Each question has been carefully solved, and its underlying concepts and principles have been thoroughly explained. This will help you in not only to practice answering questions but also helps you understand the reasoning and logic behind each correct answer. Through explanations, you will be able to reinforce your understanding, clarify any doubts, and develop a deeper grasp of the subject matter.

We wish you all the best in your exam preparation journey and hope that this document proves to be a valuable asset in your pursuit of success.

Disclaimer: While every effort has been made to ensure the accuracy and relevance of the questions, there can be some variations in the question language and options. Therefore, we encourage you to use these questions as a reference point. This will help you acquire a comprehensive understanding of the syllabus and increase your chances of success in the upcoming **IFSCA Grade A**.

IFSCA Grade A 2023 - Recollected Questions**PAPER-2 Objective****Section – Banking, Capital Market, Bullion**

Q.1) What is the leverage ratio of domestic systemically important banks (D-SIBs) in India? {Topic- Banking (Financial Risk Management)}

- (a) 3.5%
- (b) 4%
- (c) 4.5%
- (d) 5%
- (e) 5.5%

Q.2) Which securities can individuals invest in under the Retail Direct Scheme? {Topic- Capital Market (Debt Market)}

- (a) Government of India T-bills
- (b) Government of India dated g-secs
- (c) State development loans (SDL)
- (d) Sovereign gold bonds (SGBs)
- (e) All of the above

Q.3) What is the Minimum Lock-in period of the medium- and long-term government deposits under the Medium- and Long-Term Government Deposit (MLTGD) account as per the Gold Monetization Scheme 2015? (Topic- Bullion)

- (a) 1 year and 2 years
- (b) 2 years and 3 years
- (c) 3 years and 5 years
- (d) 4 years and 6 years
- (e) 5 years and 10 years

Q.4) Banks must maintain a stock of gold that is at least equal to the amount of gold that is expected to be redeemed by depositors under the Medium- and Long-Term Government Deposit (MLTGD) account in the next _____. (Topic- Bullion)

- (a) 3 months
- (b) 6 months
- (c) 9 months
- (d) 12 months
- (e) 18 months

Q.5) Which of the following entities can participate in the auction of gold under the Gold Monetization Scheme (GMS)? (Topic- Bullion)

- (a) RBI

- (b) MMTC
- (c) Banks
- (d) 1 and 3
- (e) All of the above

Q.6) Which of the following Acts is not under the purview of the Reserve Bank of India (RBI)?

{Topic- Banking (Functions of RBI)}

- (a) Banking Regulation Act, 1949
- (b) Reserve Bank of India Act, 1934
- (c) Payment and Settlement Systems Act, 2007
- (d) Negotiable Instruments act, 1881
- (e) Insolvency and Bankruptcy Code, 2016

Q.7) An NBFC -factor shall ensure that its financial assets in the factoring business constitute at least _____ of its total assets and its income derived from the factoring business is not less than _____ of its gross income. {Topic- Banking (Non-Banking Systems)}

- (a) 10%
- (b) 20%
- (c) 30%
- (d) 40%
- (e) 50%

Q.8) As per RBIs directions on Bank Finance to Non-Banking Financial Companies (NBFCs), what is the present ceiling on bank credit linked to the Net Owned Fund (NOF) of NBFCs? {Topic- Banking (Non-Banking Systems)}

- (a) 100%
- (b) 75%
- (c) 50%
- (d) 25%
- (e) No limit

Q.9) According to the Securities and Exchange Board of India (SEBI) annual report, how many clearing corporations are there in India? {Topic- Capital Market (Equity Market)}

- (a) 3
- (b) 4
- (c) 5
- (d) 6
- (e) 7

Q.10) As per the social stock exchange framework issued by SEBI, Not for Profit Organization (NPO) may not raise funds from which of the following? {Topic- Capital Market (Equity Market)}

- (a) Mutual funds
- (b) Equity
- (c) Pension funds
- (d) Insurance funds
- (e) None of the above

Q.11) What is the main objective of capital issued by a company? {Topic- Capital Market (Equity Market)}

- (a) To promote a new company
- (b) To expand an existing company
- (c) To diversify the production
- (d) To meet the regular working capital requirements
- (e) All of the above

Q.12) Anchor investors have a lock-in period of _____ during which they cannot sell their shares or offload their shares holdings. {Topic- Capital Market (Equity Market)}

- (a) 30 days
- (b) 60 days
- (c) 90 days
- (d) 120 days
- (e) 150 days

Q.13) As per social stock exchange framework what is the minimum corpus requirement of Social Impact Fund? {Topic- Capital Market (Equity Market)}

- (a) 1 crore
- (b) 2 crores
- (c) 3 crores
- (d) 4 crores
- (e) 5 crores

Section – IFSCA and GIFT City

Q.14) In the context of IFSC Banking Unit (IBU), what constitutes the minimum threshold for term deposits to be categorized as bulk deposits? (Topic- IFSCA Regulations - Banking, Bullion, Capital Market and Insurance)

- (a) US\$ 5,00,000
- (b) US\$ 4,00,000
- (c) US\$ 3,00,000
- (d) US\$ 2,00,000
- (e) US\$ 1,00,000

Q.15) Which of the following statements about IFSC banking units is INCORRECT? (Topic- IFSCA Regulations - Banking, Bullion, Capital Market and Insurance)

- (a) IFSC banking units are required to maintain a Cash Reserve Ratio (CRR) on all deposits.
- (b) IFSC banking units are allowed to offer a wider range of products and services than traditional bank branches.
- (c) The IBUs will be required to scrupulously follow "Know Your Customer (KYC)", Combating of Financing of Terrorism (CFT) and other anti-money laundering instructions issued by the Reserve Bank from time to time.
- (d) Eligible banks interested in setting up IBUs will be required to obtain prior permission of the Reserve Bank for opening an IBU under Section 23 (1)(a) of the Banking Regulation Act, 1949 (BR Act).
- (e) IBUs can undertake transactions with resident (for deployment of funds) and non-resident (for both raising of resources and deployment of funds) entities

Q.16) What is the minimum capital requirement of an IFSC Banking Unit (IBU)? (Topic- IFSCA Regulations - Banking, Bullion, Capital Market and Insurance)

- (a) USD 1 million
- (b) USD 5 million
- (c) USD 10 million
- (d) USD 15 million
- (e) USD 20 million

Q.17) International Financial Services Centres Authority (IFSCA) banking units are not covered under which of the following? (Topic- IFSCA Regulations - Banking, Bullion, Capital Market and Insurance)

- (a) Foreign Exchange Management Act (FEMA)
- (b) Securities and Exchange Board of India (SEBI)
- (c) Reserve Bank of India (RBI)
- (d) Centralized Deposit Insurance Scheme (CDIS)
- (e) None of the above

Q.18) In accordance with the International Financial Services Centres Authority (IFSCA) (Issuance and Listing of Securities) Regulations, 2021, what is the minimum size an initial public offering (IPO) must meet? (Topic- IFSCA Regulations - Banking, Bullion, Capital Market and Insurance)

- (a) USD 25 million
- (b) USD 20 million
- (c) USD 15 million
- (d) USD 10 million
- (e) USD 5 million

Q.19) According to the International Financial Services Centres Authority Act of 2019, which of the following options is not classified as a financial product? (Topic- IFSCA Act)

- (a) Foreign Exchange Spot Contract

- (b) Securities
- (c) Contracts of Insurance
- (d) Deposits
- (e) Credit Arrangements

Q.20) Section 13 of the IFSCA Act 2019 does not list which of the following regulators as a body whose powers have been transferred to the IFSCA? (Topic- IFSCA Act)

- (a) RBI (Reserve Bank of India)
- (b) NFRA (National Financial reporting Authority)
- (c) SEBI (Securities and Exchange Board of India)
- (d) PFRDA (Pension Fund Regulatory and Development Authority)
- (e) IRDAI (Insurance Regulatory and Development Authority of India)

Q.21) What was the enactment year of the International Financial Services Centres Authority (IFSCA) Act? (Topic- IFSCA Act)

- (a) 2016
- (b) 2017
- (c) 2018
- (d) 2019
- (e) 2020

Q.22) Units operating in the IFSCA are granted a ____% income tax exemption for ____ consecutive years of the 15-year term. (Topic- GIFT City and GIFT IFSCA)

- (a) 50% 10 years
- (b) 89% 7 years
- (c) 89%, 10 years
- (d) 100% 7 years
- (e) 100%, 10 years

Q.23) Which institution is the first international university established within the IFSCA? (Topic- GIFT City and GIFT IFSCA)

- (a) Deakin University
- (b) University of Wollongong (UOW) Australia
- (c) Massachusetts Institute of Technology (MIT)
- (d) London School of Economics (LSE)
- (e) Stanford University

Q.24) On what date did the International Financial Services Centres Authority assumed the powers of the RBI, SEBI, IRDAI, and PFRDA for IFSCs? (Topic- IFSCA Act)

- (a) 1st April, 2020
- (b) 1st May, 2020
- (c) 1st July, 2020

- (d) 1st September, 2020
- (e) 1st October, 2020

Q.25) As per the Global Financial Centres Index, which listed financial centre does not feature among the top five financial center? (Topic- Global Financial Centres)

- (a) Singapore
- (b) Hong Kong
- (c) Shanghai
- (d) San Francisco
- (e) New York

Section – Insurance and Pension

Q.26) Under NPS, how many Pension funds (PFs) other than the government sector are registered with PFRDA? (Topic- National Pension Scheme)

- (a) 5
- (b) 6
- (c) 7
- (d) 8
- (e) 10

Q.27) What is the maximum investment in equity allowed under the Atal Pension Yojana (APY) guidelines? (Topic- Atal Pension Yojana)

- (a) 15%
- (b) 40%
- (c) 60%
- (d) 80%
- (e) 100%

Q.28) The Central Government had introduced the National Pension System (NPS) with effect from January 1, 2004 (except for armed forces). Pension Fund Regulatory and Development Authority (PFRDA), the regulatory body for NPS, has appointed _____ as Central Recordkeeping Agency (CRA) for National Pension System. (Topic- National Pension Scheme)

- (a) NSDL e-Governance Infrastructure Limited (NSDL)
- (b) Protean eGov Technologies Limited
- (c) Central Depository Services (India) Limited (CDSL)
- (d) Karvy Computershare Private Limited
- (e) Both Option A and C

Q.29) As per IRDAI, corporate agent (health) may have arrangements with a maximum of _____ insurers in their respective lines of business. (Topic- Basics of Insurance)

- (a) 3

- (b) 4
- (c) 5
- (d) 6
- (e) 9

Section – Union Budget and Economic Survey

Q.30) As per the Budget 2023 – 2024, phase 3 of the e- Courts project will be launched with an outlay of _____ (Topic- Latest Union Budget)

- (a) 5000 Crores
- (b) 6000 Crores
- (c) 7000 Crores
- (d) 8000 Crores
- (e) 9000 Crores

Q.31) Mahila Samman Certificate will be made available for a two-year period up to _____ and the scheme will offer deposit facility upto _____ in the name of women or girls. (Topic- Latest Union Budget)

- (a) March 2023; 4 lakhs
- (b) March 2024; 6 lakhs
- (c) March 2025; 4 lakhs
- (d) March 2025; 2 lakhs
- (e) March 2026; 8 lakhs

Q.32) UIDF will be managed by the _____, and will be used by public agencies to create urban infrastructure in _____ (Topic- Latest Union Budget)

- (a) National Housing Bank; Tier 2 and Tier 3 Cities
- (b) PFRDA; Tier 2 and Tier 3 Cities
- (c) NABARD; Tier 2 and Tier 3 Cities
- (d) LIC; Tier 2 and Tier 3 Cities
- (e) SIDBI; Tier 2 and Tier 3 Cities

Q.33) Total Estimated Expenditure in Budget 2023 – 2024 is _____. (Topic- Latest Union Budget)

- (a) 40 lakh crores
- (b) 45 lakh crores
- (c) 50 lakh crores
- (d) 55 lakh crores
- (e) 60 lakh crores

Q.34) Fiscal Deficit target in FY 2023 – 2024 _____ to be reduced to 4.5% by _____. (Topic- Latest Union Budget)

- (a) 4.90; 2024 - 2025
- (b) 5.50; 2024 -2025
- (c) 6.00; 2025 -2026
- (d) 6.25; 2024 - 2025
- (e) 5.90; 2025 - 2026

Q.35) Which of the following sector not been identified as One Hundred Critical transport infrastructure projects, for last and first mile connectivity? (Topic- Latest Union Budget)

- (a) Ports
- (b) Coal
- (c) Consumer goods
- (d) Steel
- (e) Fertilizer

Q.36) In which of the following year Railway Budget was merged with the Union Budget? (Topic- Latest Union Budget)

- (a) 2017 - 2018
- (b) 2016 - 2017
- (c) 2015 - 2016
- (d) 2014 - 2015
- (e) 2013 - 2014

Q.37) The average monthly gross GST collection has increased from crore in _____ FY18 to ₹1.49 lakh crore in FY23 (Topic- Latest Economic Survey)

- (a) ₹0.65 lakh crore
- (b) ₹0.70 lakh crore
- (c) ₹0.75 lakh crore
- (d) ₹0.80 lakh crore
- (e) ₹0.90 lakh crore

Q.38) Which of the following is not a challenge faced by the agriculture sector in India? (Topic- Latest Economic Survey)

- (a) Climate Change
- (b) Fragmented Landholdings
- (c) MSP
- (d) Sub – Optimal Farm mechanization
- (e) Low Productivity

Section – Current Affairs

Q.39) Which city was the only city to issue a municipal bond in the financial year (FY) 2021-22?

- (a) New Delhi
- (b) Vadodara

- (c) Varanasi
- (d) Prayagraj
- (e) Bangalore

Q.40) Which was the largest initial public offering (IPO) issued in India in financial year (FY) 2021-22?

- (a) One 97 Communications (Paytm)
- (b) Zomato
- (c) Nykaa
- (d) Policybazaar
- (e) CarTrade

Q.41) In 2021, India bought _____ Tonnes of gold jewellery, second only to which _____?

- (a) 1090 tonnes, Russia
- (b) 981 tonnes, Switzerland
- (c) 872 tonnes, United Arab Emirates
- (d) 621 tons, China
- (e) 763 tonnes, United States

Q.42) Life insurance density in India increased from US\$11.1 in 2001 to _____ in 2021 in keeping with the relatively faster expansion of the insurance market in the country.

- (a) US\$20
- (b) US\$50
- (c) US\$65
- (d) US\$80
- (e) US\$91

Q.43) According to Swiss Re, India is one of the fastest-growing insurance markets in the world. Swiss Re forecasts that India will become the sixth-largest insurance market by what year?

- (a) 2025
- (b) 2027
- (c) 2030
- (d) 2032
- (e) 2040

Q.44) Which country is the world's leading insurance market, with the largest total premiums for both life and non-life insurance?

- (a) China
- (b) USA
- (c) Japan
- (d) Germany

- (e) United Kingdom

Q.45) According to the IFSCA annual report, what is the total number of Alternative Investment Funds (AIFs) registered with the IFSCA?

- (a) 10
- (b) 14
- (c) 24
- (d) 30
- (e) 42

Q.46) In FY 2021-22, the recognised stock exchanges in IFSC reported a notional turnover of USD 2,867 billion, registering a growth of ____% from the previous fiscal year.

- (a) 25%
- (b) 30%
- (c) 40%
- (d) 45%
- (e) 50%

Q.47) What is the amount of LIC IPO?

- (a) \$ 2.3 billion
- (b) \$ 2.4 billion
- (c) \$ 2.5 billion
- (d) \$ 2.6 billion
- (e) \$ 2.7 billion

Q.48) India became the 3rd largest automobile market, surpassing Japan and _____ in terms of sales.

- (a) Germany
- (b) UK
- (c) France
- (d) Canada
- (e) South Korea

Q.49) Kisan Credit Card Scheme was extended to fisheries and animal husbandry in which of the following year?

- (a) 2018-19
- (b) 2017-18
- (c) 2016-17
- (d) 2015-16
- (e) 2014-15

Q.50) States are allowed to have a deficit of _____ of their Gross State Domestic Product (GSDP), with _____ of this amount specifically designated for power sector reforms.

- (a) 3.5%; 0.5%
- (b) 4.5%; 0.6%
- (c) 5.5%; 0.7%
- (d) 5.6%; 0.8%
- (e) 5.7%; 0.9%

IFSCA Grade A 2023 - Recollected Questions

Answer Key

Section – Banking, Capital Market, Bullion:

Question Number	Answer	Question Number	Answer
1	B	8	E
2	E	9	C
3	C	10	B
4	A	11	E
5	E	12	A
6	E	13	E
7	E		

Section – IFSCA and GIFT City:

Question Number	Answer	Question Number	Answer
14	A	20	B
15	A	21	D
16	E	22	E
17	D	23	A
18	C	24	E
19	A	25	C

Section- Insurance and Pension:

Question Number	Answer
26	E
27	A
28	B
29	E

Section- Union Budget and Economic Survey:

Question Number	Answer	Question Number	Answer
30	C	35	C
31	D	36	A
32	A	37	E
33	B	38	C
34	E		

Section- Current Affairs:

Question Number	Answer	Question Number	Answer
39	B	45	C
40	A	46	D
41	D	47	E
42	E	48	A
43	D	49	A
44	B	50	A

IFSCA Grade A 2023 - Recollected Questions

Explanations

Section – Banking, Capital Market, Bullion

Q.1) Explanation:

The leverage ratio is a measure of a bank's capital relative to its total assets. It is calculated by dividing the bank's Tier 1 capital by its total assets.

The Reserve Bank of India (RBI) has set a minimum leverage ratio of 4% for D-SIBs in India. This means that D-SIBs must have Tier 1 capital equal to at least 4% of their total assets. **Hence, option B is the correct answer.**

Q.2) Explanation:

Individuals can invest in the following securities under the Retail Direct Scheme:

- Government of India T-bills
- Government of India dated g-secs.
- State development loans (SDL)
- Sovereign gold bonds (SGBs)

To invest in these securities, individuals need to open an RDG account with the RBI. Once the account is opened, investors can place bids for government securities in primary auctions or purchase them in the secondary market. **Hence, option E is the correct answer.**

Q.3) Explanation:

The minimum lock-in period for medium-term government deposits under the MLTGD account of the **GMS 2015 is 3 years** and for long-term government deposits under the MLTGD account of the **GMS 2015 is 5 years**. This means that depositors cannot withdraw their deposits before the expiry from the date of deposit. **Hence, option C is the correct answer.**

Q.4) Explanation:

Under the Gold Monetization Scheme (GMS) in India, banks operating Medium and Long Term Government Deposit (MLTGD) accounts are required to maintain a stock of gold equivalent to the **expected redemptions by depositors in the next three months**.

This stipulation ensures that there is enough physical gold to facilitate the timely redemption of deposits made under the scheme. This helps maintain liquidity and reliability for depositors seeking to redeem their gold deposits. **Hence, option A is the correct answer.**

Q.5) Explanation:

The following entities can participate in the auction of gold under the GMS:

- Reserve Bank of India (RBI): The RBI is the custodian of gold under the GMS. It auctions gold to banks and other entities to mobilize gold into the financial system.
- Metals and Minerals Trading Corporation of India Limited (MMTC): MMTC is a government-owned company that is authorized to deal in gold. It can participate in the auction of gold under the GMS to purchase gold for its own use or for resale.
- Banks: Banks can participate in the auction of gold under the GMS to acquire gold for their own use or for lending to their customers.

By allowing RBI, MMTC, and banks to participate in the auction of gold, the GMS helps to mobilize gold into the financial system and make it more accessible to businesses and consumers. **Hence, option E is the correct answer.**

Q.6) Explanation:

The Insolvency and Bankruptcy Code, 2016 is administered by the Insolvency and Bankruptcy Board of India (IBBI). The RBI is responsible for administering the other four Acts listed in the options. **Hence, option E is the correct answer.**

Q.7) Explanation:

An NBFC-factor must ensure that its financial assets in the factoring business constitute at least 50% of its total assets and its income derived from the factoring business is not less than 50% of its gross income. **Hence, option E is the correct answer.**

Q.8) Explanation:

As per the Master Circular, the RBI has withdrawn the ceiling on bank credit linked to the NOF of NBFCs for all NBFCs which are statutorily registered with the RBI and are engaged in the principal business of asset financing, loan, factoring and investment activities.

In other words, banks are now free to extend need-based working capital facilities as well as term loans to all NBFCs registered with the RBI and engaged in the above-mentioned activities, without any restrictions on the amount of credit that can be extended. **Hence, option E is the correct answer.**

Q.9) Explanation:

According to the SEBI annual report for 2022-23, there are five clearing corporations in India.

Clearing corporations play an important role in the Indian securities market by providing a centralized risk management system for the clearing and settlement of trades. They also help to reduce systemic risk in the market by acting as a guarantor for the obligations of their members.

Following are the list of 5 **clearing corporations**

1. Indian Clearing Corporation Ltd.
2. Multi Commodity Exchange Clearing Corporation Ltd.
3. National Commodity Clearing Ltd
4. NSE Clearing Limited.
5. AMC Repo Clearing Limited.

Hence, option C is the correct answer.

Q.10) Explanation:

The **social stock exchange framework issued by SEBI** specifically states that NPOs are prohibited from raising funds from equity investors.

This is because equity investors are typically looking for investments that will generate a financial return, and social impact investments are not typically designed to generate a financial return. **Hence, option B is the correct answer.**

Q.11) Explanation:

The main objective of capital issued by a company is to raise funds to finance its operations and growth. This can include:

- Promoting a new company: Companies need capital to cover the costs of starting up a new business, such as developing products or services, hiring staff, and marketing the business.
- Expanding an existing company: Companies may need capital to finance expansion initiatives, such as opening new locations, developing new products or services, or acquiring other companies.
- Diversifying the production: Companies may need capital to diversify their production lines in order to reduce risk and expand into new markets.
- Meeting the regular working capital requirements: Companies need capital to meet their day-to-day operating expenses, such as inventory, accounts receivable, and accounts payable.

Hence, option E is the correct answer.

Q.12) Explanation:

Anchor investors have a lock-in period of 30 days during which they cannot sell their shares or offload their shares holdings.

This lock-in period is mandated by the Securities and Exchange Board of India (SEBI) to prevent anchor investors from selling their shares immediately after the IPO, which could lead to a sharp decline in the share price. The lock-in period also gives retail investors a chance to buy shares in the company at a fair price. **Hence, option A is the correct answer.**

Q.13) Explanation:

As per social stock exchange framework the minimum corpus requirement of Social Impact Fund is **Rs 5 crores**.

Section – IFSCA and GIFT City

Q.14) Explanation:

The minimum amount of a term deposit in IBU that is treated as a bulk deposit is **US\$ 5,00,000**.

IBUs are specialized branches of banks located within IFSCs that deal exclusively with foreign currency-denominated transactions. These units are designed to attract foreign investments and provide a platform for offshore banking activities, catering to non-residents and foreign investors. **Hence, option A is the correct answer.**

Q.15) Explanation:

The incorrect statement is A. IFSC banking units are required to maintain a Cash Reserve Ratio (CRR) on all deposits.

CRR is a percentage of deposits that banks are required to maintain with the RBI. IFSC banking units are not required to maintain CRR, as they are not considered to be a part of the traditional banking system.

Rest all the statements are correct. **Hence, option A is the correct answer.**

Q.16) Explanation:

The minimum capital requirement for an IBU is **USD 20 million**, as per the IFSCA (Banking) Regulations, 2020. In addition to the capital requirement, IBUs must also comply with other requirements, such as obtaining a license from the International Financial Services Centres Authority (IFSCA), meeting certain liquidity requirements, and implementing robust risk management systems. **Hence, option E is the correct answer.**

Q.17) Explanation:

IFSCA banking units are not covered under the CDIS, **which is a deposit insurance scheme operated by the RBI to protect depositors in Indian banks.**

However, IFSCA banking units are subject to other regulations, such as the IFSCA (Banking) Regulations, 2020, which require them to maintain a certain amount of capital and liquidity.

IFSCA banking units aren't covered by A (FEMA) and B (SEBI) because they follow separate regulations within IFSCs for foreign exchange and securities. However, they do fall under the oversight of IFSCA, not RBI (C), as IFSCA governs and regulates financial activities exclusively within International Financial Services Centers. **Hence, option D is the correct answer.**

Q.18) Explanation:

The IFSCA (Issuance and Listing of Securities) Regulations, 2021 prescribe that the minimum issue size shall not **be less than USD 15 million**, or any other amount as may be specified by IFSCA from time to time. **Hence, the correct answer is option C.**

Q.19) Explanation:

According to the International Financial Services Centres Authority Act of 2019, financial product means:

- (i) securities;

- (ii) contracts of insurance;
- (iii) deposits;
- (iv) credit arrangements;
- (v) foreign currency contracts **other than** contracts to exchange one currency for another that are to be settled immediately; and
- (vi) any other product or instrument that may be notified by the Central Government from time to time.

Hence, option A is the correct answer.

Q.20) Explanation:

Section 13 of the International Financial Services Centres Authority (IFSCA) Act 2019 lists the regulators whose powers have been transferred to the IFSCA.

According to the First Schedule of the IFSCA Act 2019, an "appropriate regulator" means any financial sector regulator specified in the First Schedule to this Act.

The regulators listed in the First Schedule are the Reserve Bank of India (RBI), the Securities and Exchange Board of India (SEBI), the Insurance Regulatory and Development Authority of India (IRDAI), and the Pension Fund Regulatory and Development Authority (PFRDA).

Therefore, the correct answer is NFRA (National Financial Reporting Authority) as it is not listed in the First Schedule of the IFSCA Act 2019.

Hence, option B is the correct answer.

Q.21) Explanation:

In 2019 the Government of India enacted an Act of Parliament called the International Financial Services Centres Authority Act, 2019. **Hence, option D is the correct answer.**

Q.22) Explanation:

Units in IFSC enjoy 100% income tax exemption for 10 consecutive years out of 15 years. **Hence, option E is the correct answer.**

Q.23) Explanation:

Deakin University, a leading university in Australia, has become the first foreign university to receive approval from the International Financial Services Centres Authority (IFSCA) to establish an International Branch Campus (IBC) in GIFT-IFSC, GIFT City, Gujarat. **Hence, option A is the correct answer.**

Q.24) Explanation:

On October 01, 2020, the International Financial Services Centres Authority (IFSCA) assumed the regulatory powers of the Reserve Bank of India (RBI), Securities and Exchange Board of India (SEBI), Insurance Regulatory and Development Authority of India (IRDAI), and Pension Fund Regulatory and Development Authority (PFRDA) for IFSCs. **Hence, option E is the correct answer.**

Q.25) Explanation:

Centre	GFCI 34 Rank	GFCI 34 Rating	Rank(+/-)	Rating(+/-)	Region
New York	1	763	0	3	North America
London	2	744	0	13	Western Europe
Singapore	3	742	0	19	Asia/Pacific
Hong Kong	4	741	0	19	Asia/Pacific
San Francisco	5	735	0	14	North America
Los Angeles	6	734	0	15	North America
Shanghai	7	733	0	16	Asia/Pacific

Hence, option C is the correct answer

Section- Insurance and Pension

Q.26) Explanation:

The PFs offer a variety of investment options to NPS subscribers, including equity funds, debt funds, and hybrid funds. Subscribers can choose to invest in one or more PFs, and they can change their investment choices at any time.

In total, Under NPS, there are 10 Pension funds (PFs) other than the government sector that are registered with PFRDA. **Hence, option E is the correct answer.**

Q.27) Explanation:

The APY guidelines allow for a **maximum investment of 15% in equity**. The Atal Pension Yojana (APY) is a pension scheme launched by the Government of India that focuses on the unorganized sector workers. The scheme offers a minimum guaranteed pension of Rs. 1,000/-, 2,000/-, 3,000/-, 4,000 and

5,000/- per month, depending on the contributions by the subscribers for their chosen pension amount. **Hence, option A is the correct answer.**

Q.28) Explanation:

The Central Government had introduced the National Pension System (NPS) with effect from January 1, 2004 (except for armed forces). Pension Fund Regulatory and Development Authority (PFRDA), the regulatory body for NPS, has appointed Protean eGov Technologies Limited as Central Recordkeeping Agency (CRA) for National Pension System. **Hence, option B is the correct answer.**

Q.29) Explanation:

As per the Insurance Regulatory and Development Authority of India (IRDAI), a corporate agent (health) may have arrangements with a **maximum of 9 insurers** in their respective lines of business. **Hence, option E is the correct answer.**

Section- Union Budget and Economic Survey

Q.30) Explanation:

For efficient administration of justice, Phase-3 of the E-Courts project will be launched with an outlay of **7,000 crore**.

Q.31) Explanation:

For commemorating Azadi Ka Amrit Mahotsav, a one-time new small savings scheme, Mahila Samman Savings Certificate, will be made available for a two-year period up to **March 2025**. This will offer deposit facility upto ` **2 lakh** in the name of women or girls for a tenor of 2 years at fixed interest rate of 7.5 per cent with partial withdrawal option.

Q.32) Explanation:

Like the RIDF, an Urban Infrastructure Development Fund (UIDF) will be established through use of priority sector lending shortfall. This will be managed by the **National Housing Bank** and will be used by public agencies to create urban infrastructure **in Tier 2 and Tier 3 cities**. States will be encouraged to leverage resources from the grants of the 15th Finance Commission, as well as existing schemes, to adopt appropriate user charges while accessing the UIDF. We expect to make available ` 10,000 crore per annum for this purpose.

Q.33) Explanation:

Coming to 2023-24, the total receipts other than borrowings and the total expenditure are estimated at ` 27.2 lakh crore and **` 45 lakh crore respectively.**

Q.34) Explanation:

Coming to 2023-24, the total receipts other than borrowings and the total expenditure are estimated at ` 27.2 lakh crore and ` 45 lakh crore respectively. The net tax receipts are estimated at ` 23.3 lakh crore. 26 116. The fiscal deficit is estimated to **be 5.9 per cent** of GDP. In my Budget Speech for 2021-22, I had announced that we plan to continue the path of fiscal consolidation, reaching a fiscal deficit below **4.5 per cent by 2025-26** with a fairly steady decline over the period. We have adhered to this path, and I reiterate my intention to bring the fiscal deficit below 4.5 per cent of GDP by 2025-26. 117. To finance the fiscal deficit in 2023-24, the net market borrowings from dated securities are estimated at ` 11.8 lakh crore. The balance financing is expected to come from small savings and other sources. The gross market borrowings are estimated at ` 15.4 lakh crore.

Q.35) Explanation:

One hundred critical transport infrastructure projects, for last and first mile connectivity for **ports, coal, steel, fertilizer, and food grains sectors** have been identified. They will be taken up on priority with investment of ` 75,000 crore, including ` 15,000 crore from private sources.

Q.36) Explanation:

The Railway Budget was merged with the Union Budget in **2017 - 2018**, ending a practice that began in 1924 under British rule.

Q.37) Explanation:

The average monthly gross GST collection has increased from **₹0.90 lakh crore** in FY18 to ₹1.49 lakh crore in FY23.

Q.38) Explanation:

Challenges in the agriculture Sector adverse impacts of **Climate Change, fragmented landholdings, sub-optimal farm mechanisation, low productivity, disguised unemployment, rising input costs.**

Section- Current Affairs

Q.39) Explanation:

Vadodara, Gujarat was the only city to issue a municipal bond in FY 2021-22.

Municipal bonds are debt instruments issued by local governments to raise money for infrastructure projects and other development initiatives. They are typically exempt from income tax, making them an attractive investment option for investors. **Hence, option B is the correct answer.**

Q.40) Explanation:

One 97 Communications, the parent company of Paytm, raised ₹18,300 crore through its IPO in November 2021, making it the largest IPO issued in India in FY 2021-22. The IPO was oversubscribed 1.89 times, and the shares were listed on the Bombay Stock Exchange (BSE) and the National Stock Exchange (NSE) at a premium of over 37%. **Hence, option A is the correct answer.**

Q.41) Explanation:

India bought 621 tonnes of gold jewellery in 2021, second only to China.

The report further highlighted that gold jewellery exports in India have grown from US \$7.6 billion in 2015 to US \$12.4 billion in 2019. However, bridal jewellery dominates the gold jewellery landscape, enjoying 50.5 per cent of the market share in India. **Hence, option D is the correct answer.**

Q.42) Explanation:

Life insurance density in India increased from US\$11.1 in 2001 to US\$91 in 2021 in keeping with the relatively faster expansion of the insurance market in the country. **Hence, option E is the correct answer.**

Q.43) Explanation:

Swiss Re forecasts that India will become the sixth-largest insurance market by 2032. This is based on the country's strong economic growth, rising disposable incomes, and growing awareness of the importance of insurance. **Hence, option D is the correct answer.**

Q.44) Explanation:

The United States has the largest total insurance premiums, including both life and non-life insurance. In 2023, the US insurance industry generated over \$2.8 trillion in premiums. This is more than twice

the amount of premiums generated by the second largest insurance market, China. **Hence, option B is the correct answer.**

Q.45) Explanation:

According to the IFSC's latest annual report, out of the 24 AIFs registered till March 31, 2022, 10 were from Category I and II, with total committed funds of \$4,081 million. The remaining 14 were Category III AIFs, with total committed funds of \$1,072 million. **Hence, option C is the correct answer.**

Q.46) Explanation:

The notional turnover on the recognised stock exchanges in IFSC increased to USD 2,867 billion during FY 2021-22 compared to USD 1,980 billion during FY 2020-21. Therefore, the notional turnover during FY 2021-22 increased by approximately 45% compared to previous year. **Hence, option D is the correct answer.**

Q.47) Explanation:

State-owned Life Insurance Corp's (LIC) **\$2.7 billion IPO**, India's largest, opened to subscriptions from retail and other investors on Wednesday following strong demand from anchor investors led by domestic mutual funds.

Q.48) Explanation:

India has beaten Japan and **Germany** to become the third largest vehicle market in 2022 after China and the US, selling more than 4.25 million vehicles.

Q.49) Explanation:

Kisan Credit Card scheme was extended by the Government of India in the **2018-19** to fisheries and animal husbandry farmers to help them meet their working capital requirements.

Q.50) Explanation:

States will be allowed a fiscal deficit **of 3.5 per cent** of GSDP of which **0.5 per cent** will be tied to power sector reforms.

